

KELANI TYRES PLC

(Reg: No. PQ 123)

INTERIM FINANCIAL STATEMENTS

FOR NINE MONTHS ENDED DECEMBER 31, 2025



Corporate Office
203, Union Place
Colombo 02.

KELANI TYRES PLC AND ITS GROUP

**CONSOLIDATED STATEMENT OF
COMPREHENSIVE INCOME**

(all amounts in Sri Lankan Rupees thousands)

	Group		Company		Group		Company	
	Apr. -Dec.		Apr. - Dec.		Oct. -Dec.		Oct. -Dec.	
	2025	2024	2025	2024	2025	2024	2025	2024
	(Un audited)	(Audited)	(Un audited)	(Audited)				
Revenue	-	-	-	-	-	-	-	-
Direct costs	-	-	-	-	-	-	-	-
Gross margin	-	-	-	-	-	-	-	-
Operating income	39,476	37,274	789,476	637,274	12,256	10,564	12,256	10,564
	39,476	37,274	789,476	637,274	12,256	10,564	12,256	10,564
Administrative costs	(71,610)	(92,227)	(71,518)	(92,143)	(47,585)	(26,423)	(47,506)	(26,352)
Management Expenses	(79,273)	(70,276)	(79,273)	(70,276)	(35,626)	(31,939)	(35,626)	(31,939)
Depreciation	(877)	(861)	(877)	(861)	(309)	(316)	(309)	(316)
Operating profit	(112,284)	(126,090)	637,808	473,994	(71,264)	(48,114)	(71,185)	(48,042)
Finance Income	62,912	66,030	62,912	66,029	19,149	20,213	19,149	20,212
Finance costs	(2,278)	(1,124)	(2,278)	(1,124)	(859)	(629)	(859)	(630)
Net Finance Income	60,634	64,905	60,634	64,905	18,290	19,583	18,290	19,583
Share of results of JV Net of Tax	358,593	601,200	-	-	160,760	213,135	-	-
Profit/(Loss) before tax	306,943	540,016	698,442	538,899	107,786	184,605	(52,895)	(28,460)
Tax	(7,049)	(18,120)	(7,049)	(18,120)	(2,616)	(18,120)	(2,616)	(18,120)
Profit/(Loss) for the period	299,894	521,896	691,393	520,779	105,169	166,485	(55,512)	(46,579)
Other comprehensive income:								
Items that will not be reclassified to profit or (loss)								
Share of other comprehensive - -Income/expenses from Joint Venture	462	(19,127)	-	-	158	(6,697)	-	-
Total comprehensive income - -for the period, net of tax	300,356	502,769	691,393	520,779	105,327	159,788	(55,512)	(46,579)
Earning per share (for the period)	3.73	6.49	8.60	6.48	1.31	2.07	(0.69)	(0.58)

KELANI TYRES PLC AND ITS GROUP

CONSOLIDATED STATEMENT OF FINANCIAL POSSITION

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	31-12-2025 (un-audited)	31-03-2025 (audited)	31-12-2025 (un-audited)	31-03-2025 (audited)
ASSETS				
Non-current assets				
Property, plant and equipment	32,548	32,060	32,548	32,060
Investment Property	755,800	755,800	755,800	755,800
Investments in subsidiaries	-	-	10	10
Investment in JV	5,366,073	5,757,018	139,607	139,607
	6,154,420	6,544,878	927,965	927,477
Current assets				
Trade and other receivables	50,994	3,384	50,994	3,384
Amounts due from related parties	38,016	34,200	38,016	34,200
Income Tax Refund	12,498	11,259	11,895	10,656
Other Investments	1,066,620	910,576	1,066,620	910,576
Cash and cash equivalents	305,497	292,536	301,868	288,765
	1,473,625	1,251,955	1,469,392	1,247,581
Total assets	7,628,045	7,796,833	2,397,357	2,175,058
EQUITY AND LIABILITIES				
Equity attributable to equity holders				
Stated capital	402,000	402,000	402,000	402,000
Revaluation reserves	1,116,957	1,116,957	22,049	22,049
Retained earnings	5,830,622	6,052,866	1,694,842	1,526,049
Total equity	7,349,579	7,571,823	2,118,891	1,950,098
Non - current liabilities				
Retirement benefit obligations	12,254	14,751	12,254	14,751
Deferred tax liability	112,289	112,289	112,289	112,289
	124,543	127,040	124,543	127,040
Current liabilities				
Trade and other payables	86,033	86,349	86,033	86,299
Bank Overdraft	67,890	11,621	67,890	11,621
	153,924	97,970	153,924	97,920
Total liabilities	278,467	225,010	278,466	224,960
Total equity and liabilities	7,628,045	7,796,833	2,397,357	2,175,058
Net Asset Value Per share	91.41	94.18	26.35	24.25

I certify that these financial statements have been prepared in compliance with requirements of the Companies Act, No. 07 of 2007.

Sgd

P. R. Mann

Finance Officer

The Board of Directors is responsible for the preparation and presentation of these Financial statements.

Sgd

Rohan T. Fernando

Managing Director

February 9, 2026

Sgd

E. T. Fernando

Director

KELANI TYRES PL AND ITS GROUP**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

(all amounts in Sri Lanka Rupees Thousands)

Company

	Stated capital	Revaluation Reserve	Retained Earnings	Total
Balance at 1 April 2024 (audited)	402,000	22,049	1,470,678	1,894,727
Profit for the Period	-	-	520,779	520,779
Other comprehensive income	-	-	-	-
Dividend paid	-	-	(482,400)	(482,400)
Balance at 31st Dec. 2024 (audited)	402,000	22,049	1,509,057	1,933,107
Balance at 1 April 2025 (audited)	402,000	22,049	1,526,049	1,950,098
Profit for the Period	-	-	691,393	691,393
Other comprehensive income	-	-	-	-
Dividend paid	-	-	(522,600)	(522,600)
Balance at 31st Dec. 2025 (Un-audited)	402,000	22,049	1,694,842	2,118,891

Group

	Stated capital	Revaluation Reserve	Retained Earnings	Total
Balance at 1 April 2024 (audited)	402,000	753,290	5,833,735	6,989,025
Profit for the Period	-	-	521,896	521,896
Other comprehensive income	-	-	(19,127)	(19,127)
Dividend paid	-	-	(482,400)	(482,400)
Balance at 31st Dec. 2024 (audited)	402,000	753,290	5,854,104	7,009,394
Balance at 1 April 2025 (audited)	402,000	1,116,957	6,052,866	7,571,823
Profit for the Period	-	-	299,894	299,894
Other comprehensive income	-	-	462	462
Dividend paid	-	-	(522,600)	(522,600)
Balance at 31st Dec. 2025 (Un-audited)	402,000	1,116,957	5,830,622	7,349,579

KELANI TYRES PLC AND ITS GROUP

Cash flow statement

(all amounts in Sri Lankan Rupees thousands)

	Nine months ended 31st Dec. 2025		Nine months ended 31st Dec. 2024	
	Group	Company	Group	Company
Cash flows from operating activities				
Cash generated from (used in) operations	(164,389)	(164,247)	(119,676)	(119,541)
Interest received	62,912	62,912	66,030	66,030
Interest paid	(2,278)	(2,278)	(1,124)	(1,124)
Tax paid	(7,049)	(7,049)	(10,620)	(10,620)
Gratuity paid	(2,496)	(2,496)	-	-
Net cash generated from (used in) operating activities	(113,301)	(113,159)	(65,391)	(65,256)
Cash flows from investing activities				
Purchases of property, plant and equipment	(1,364)	(1,364)	-	-
Dividend received	750,000	750,000	600,000	600,000
Investment in government securities	(156,044)	(156,044)	(37,723)	(37,723)
Net cash (used in)/generated from investing activities	592,593	592,593	562,277	562,277
Cash flows from financing activities				
Dividend payment	(522,600)	(522,600)	(482,400)	(482,400)
Net cash (used in)/generated from financing activities	(522,600)	(522,600)	(482,400)	(482,400)
Net (decrease)/increase in cash and cash equivalents	(43,308)	(43,166)	14,486	14,621
Movement in cash and cash equivalents				
At the start of period	280,915	277,144	269,696	265,784
(Decrease)/increase	(43,308)	(43,166)	14,486	14,621
At the end of period	237,607	233,978	284,182	280,405

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS:

(all amounts are in Sri Lanka Rupees thousands)

1 General Information

Company

The company is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The address of its registered office is P.O.Box 8, Nungamugoda, Kelaniya.

Group

Joint Venture (JV):

The JV's principal activity is the manufacture of tyres and tubes locally and its sale thereof locally and internationally.

Subsidiary company:

The principal business activity is to hire out motor vehicles.

2 Basis of preparation

The Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard (LKAS-34) Interim Financial reporting .These interim financial statements should be read in conjunction with the annual financial statement for the year ended 31 Mar. 2025,

3 Significant Accounting Policies

The Company has adopted consistent accounting policies and method applied for the year ended 31st March 2025 and the presentation and classification of the financial statements of the previous year have been ammended where relevent for better presentation and to be comparable with those of the current year.

4 Stated Capital

Stated Capital represented by issued shares is given below:

	31/12/2025	31/12/2024	31/03/2025
Ordinary shares as at	80,400	80,400	80,400

5 There have been no other events subsequent to the Balance Sheet date, which require disclosure in the Interim Financial Statements.

6 Provision was made for taxation by Company and joint venture (JV) CEAT SRI LANKA as follows:

	Company (Rs.)	JV (Rs.)
Profit before Tax JV	698,442	1,293,745
Less: Provision for Tax	(7,049)	(576,560)
Profit /(Loss) after Tax	691,393	717,186

7 There were no Contingent Liabilities or Contingent Assets since the Balance Sheet date.

8 There were no Liability towards Management fee or any similar expenditure not provided for in the Interim Financial Statements.

9 Dividend per share

	Group		Company	
	31/12/2025	31/12/2024	31/12/2025	31/12/2024
Dividend received from the JV	750,000	600,000	750,000	600,000
Dividend declared & paid to shareholders	522,600	482,400	522,600	482,400
Number of shares in issue (thousands)	80,400	80,400	80,400	80,400
Dividend per share - (Rs.)	6.50	6.00	6.50	6.00

10 The figures have been presented in these financial statements are provisional and subject to audit, and also comparative figures have been reclassified where necessary.

11 Market price per share:

for the quarter ended 31st Dec.

	2025	2024
	Rs.	Rs.
Highest Price (03/10/25 & 31/12/24)	97.50	84.00
Lowest Price (01/12/25 & 10/10/24)	88.00	73.10
Closing Price	89.60	83.50
Last Traded Price	89.90	84.00

KELANI TYRES PLC
TOP 20 SHARE HOLDERS LIST
AS AT 31-12-2025

No.	Name	No of Shares	%
1	SILVERSTOCK LIMITED	39,994,246	49.744
2	MR. H. M. UDESHI	5,458,474	6.789
3	BANCK OF CEYLON A/C CEYBANK UNIT TRUST	5,123,886	6.373
4	EMPLOYEES TRUST FUND BOARD	2,453,639	3.052
5	MR. R. C. D. DE SILVA	2,000,000	2.488
6	EMPLOYEE'S PROVIDENT FUND	1,553,800	1.933
7	BANK OF CEYLON ACCOUNT CEYBANK - CENTURY GROWTH FUND	1,011,585	1.258
8	J. B. COCOSHELL (PVT) LTD	664,067	0.826
9	MRS. T. T. A. DE SILVA WEERASOORIYA	622,612	0.774
10	MOULDEX (PVT) LTD	600,000	0.746
11	MONA EXPORTS (PVT) LTD	597,228	0.743
12	MR. A. M. WEERASINGHE	520,000	0.647
13	SAMPATH BANK PLC / ARUNA ENTERPRISES(PVT) LTD	437,600	0.544
14	MRS. K. PUSPARAJ	426,172	0.530
15	MR. B POBRAN	350,240	0.436
16	RANSIRI ENTERPRISES (PRIVATE) LIMITED	310,000	0.386
17	COMMERCIAL BANK OF CEYLON PLC A/C NO. 03	305,500	0.380
18	MRS N MULJIE	290,694	0.362
19	MR. T. T. L. NAKIB (DECEASED)	250,000	0.311
20	MR. J. D. BANDARANAYAKE & MISS. N. BANDARANAYAKE, DR. (MRS) V. BANDARANAYAKE	248,774	0.309

PUBLIC HOLDING

The percentage of shares held by the public as at 31st December 2025 is 46.824% comprising of 10,203 shareholders
(31st December 2024 - 46.958% comprising of 9,491 shareholders)

FLOAT ADJUSTED MARKET CAPITALIZATION AS AT 31ST DECEMBER 2025 - RS. 3,373,139,750/40

The Company is in compliance with Option 4 of Rule 7.13.1.i (a) of the Listing Rule of the Colombo Stock Exchange pertaining to minimum public holding.

SHARE HOLDINGS BY THE DIRECTORS AS AT 31ST DECEMBER 2025

Names of Directors	No of Shares as at 31st Dec. 2025	%
Mr. Chanaka De Silva	2,000,000	2.488%
Mr. Rohan T. Fernando	Nil	Nil
Mr. Eraj T. Fernando	74,553	0.093%
Mr. R. P. Weerasooria	Nil	Nil
Mr. P. Samarasekera	Nil	Nil
Mrs. S. S. Jayatilaka- Appointed w.e.f. 7/8/2025	240	0.000
Mrs. R. M. R. D. Rajapaksa - Appointed w.e.f. 7/8/2025	Nil	Nil
Mr. B. T. De Silva Weerasooria (Alternate Director to Mr. R. P. Weerasooria)	60,000	0.075%

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS (cont.):

Joint Venture Performance

The assets and liabilities and the income and the expenses of the Joint venture as follows:

Summarised Financial Position

	31-12-2025	31-12-2024
Non-Current Assets	8,289,312	7,460,449
Current Assets	8,268,572	9,075,384
Total Assets	16,557,884	16,535,833
Capital and Reserves	10,732,145	10,423,046
Non-Current Liabilities	2,155,947	1,374,307
Current Liabilities	3,669,792	4,738,479
Total Equity & Liabilities	16,557,884	16,535,833

Summarised Income Statement

	2025 Apr. to Dec.	2024 Apr. to Dec.
Production (MT)	11,148	11,220
Total Sales (MT)	11,138	11,138
Domestic Sales	12,374,095	13,233,189
Export Sales	823,903	919,824
Total Sales	13,197,998	14,153,013
Cost of Sales	(10,088,554)	(10,478,091)
Gross Profit	3,109,444	3,674,923
Distribution/Administrative Cost	(1,900,081)	(1,709,557)
Finance Cost less income	35,575	31,740
Other Operating Income	48,808	45,975
Profit Before Tax	1,293,745	2,043,081
Taxation	(576,560)	(840,680)
Profit for the period	717,186	1,202,401
Other Comprehensive income/(Expenses)	924	(38,254)
Total Comprehensive income	718,110	1,164,147